

Senate File 383

S-3139

1 Amend the amendment, S-3138, to Senate File 383, as follows:

2 1. By striking page 1, line 2, through page 10, line 10, and
3 inserting:

4 <1. By striking everything after the enacting clause and
5 inserting:

6 <Section 1. Section 510B.1, Code 2025, is amended by adding
7 the following new subsections:

8 NEW SUBSECTION. 16A. "*Pharmacy desert*" means a geographic
9 area with a single pharmacy located at least thirty miles from
10 the nearest pharmacy.

11 NEW SUBSECTION. 21A. "*Specialty drug*" means a drug used
12 to treat chronic and complex or rare medical conditions and
13 that requires special handling or administration, provider care
14 coordination, or patient education that cannot be provided by a
15 nonspecialty pharmacy or pharmacist.

16 NEW SUBSECTION. 21B. "*Spread pricing*" means a pharmacy
17 benefits manager charges a third-party payor more for
18 prescription drugs dispensed to a covered person than the
19 amount the pharmacy benefits manager reimburses the pharmacy
20 for dispensing the prescription drugs to a covered person.

21 Sec. 2. NEW SECTION. 510B.4B **Prohibited conduct.**

22 1. a. A pharmacy benefits manager shall not do any of the
23 following:

24 (1) Where a pharmacy or pharmacist has agreed to participate
25 in a covered person's health benefit plan, prohibit or limit
26 the covered person from selecting a pharmacy or pharmacist of
27 the covered person's choice.

28 (2) Deny a pharmacy or pharmacist the right to participate
29 as a contract provider under a health benefit plan if the
30 pharmacy or pharmacist agrees to provide pharmacy services that
31 meet the terms and requirements of the health benefit plan and
32 the pharmacy or pharmacist agrees to the terms of reimbursement
33 set forth by the third-party payor.

34 (3) Impose upon a pharmacy or pharmacist, as a condition
35 of participation in a third-party payor network, any course

1 of study, accreditation, certification, or credentialing that
2 is inconsistent with, more stringent than, or in addition to
3 state requirements for licensure or certification, and the
4 administrative rules adopted by the board of pharmacy.

5 (4) Require a covered person, as a condition of payment
6 or reimbursement, to purchase pharmacy services, including
7 prescription drugs, exclusively through a mail order pharmacy.

8 b. This subsection shall not apply to a specialty drug.

9 2. a. If a third-party payor providing reimbursement to
10 covered persons for prescription drugs restricts pharmacy
11 participation, the third-party payor shall notify, in writing,
12 all pharmacies within the geographical coverage area of the
13 health benefit plan restriction, and offer the pharmacies
14 the opportunity to participate in the health benefit plan at
15 least sixty days prior to the effective date of the health
16 benefit plan restriction. All pharmacies in the geographical
17 coverage area of the health benefit plan shall be eligible to
18 participate under identical reimbursement terms for providing
19 pharmacy services and prescription drugs. This paragraph shall
20 not apply to a specialty drug.

21 b. The third-party payor shall inform covered persons of
22 the names and locations of all pharmacies participating in
23 the health benefit plan as providers of pharmacy services and
24 prescription drugs.

25 c. A participating pharmacy shall be entitled to announce
26 the pharmacy's participation in the health benefit plan to the
27 pharmacy's customers.

28 3. The commissioner shall not certify a pharmacy benefits
29 manager or license an insurance producer that is not in
30 compliance with this section.

31 4. A covered person or pharmacy injured by a violation
32 of this section may maintain a cause of action to enjoin the
33 continuation of the violation.

34 5. This section shall not apply to an entity that owns
35 and operates the entity's own facility, employs or contracts

1 with physicians, pharmacists, nurses, or other health care
2 personnel, and that dispenses prescription drugs from the
3 entity's pharmacy to the entity's employees and dependents
4 enrolled in the entity's health benefit plan, except that
5 this section shall apply to an entity otherwise excluded that
6 contracts with an outside pharmacy or group of pharmacies
7 to provide prescription drugs and services to the entity's
8 employees and dependents enrolled in the entity's health
9 benefit plan.

10 Sec. 3. Section 510B.8, Code 2025, is amended by adding the
11 following new subsection:

12 NEW SUBSECTION. 3. One hundred percent of all rebates
13 received by a pharmacy benefits manager shall be passed through
14 to the health carrier or employer plan sponsor for the purpose
15 of reducing premiums.

16 Sec. 4. Section 510B.8B, Code 2025, is amended to read as
17 follows:

18 **510B.8B Pharmacy benefits manager affiliates managers —**
19 **reimbursement.**

20 1. A pharmacy benefits manager shall not reimburse any
21 pharmacy located in the state in an amount less than the amount
22 that the pharmacy benefits manager reimburses a pharmacy
23 benefits manager affiliate for dispensing the same prescription
24 drug as dispensed by the pharmacy. ~~The reimbursement amount~~
25 ~~shall be calculated on a per unit basis based on the same~~
26 ~~generic product identifier or generic code number.~~

27 2. For a prescription filled at a pharmacy with five or
28 less locations, a pharmacy benefits manager shall reimburse the
29 pharmacy or pharmacist a professional dispensing fee in the
30 amount of ten dollars and sixty-eight cents.

31 3. For a prescription filled at a pharmacy with six or more
32 locations, and that has any location located in a pharmacy
33 desert, a pharmacy benefits manager shall reimburse the
34 pharmacy located in a pharmacy desert a professional dispensing
35 fee in the amount of ten dollars and sixty-eight cents.

1 Sec. 5. NEW SECTION. 510B.8D Pharmacy benefits manager
2 contracts — spread pricing.

3 All contracts executed, amended, adjusted, or renewed on or
4 after July 1, 2025, that apply to prescription drug benefits on
5 or after January 1, 2026, between a pharmacy benefits manager
6 and a third-party payor, or between a person and a third-party
7 payor, shall prohibit the practice of spread pricing.

8 Sec. 6. PHARMACY SERVICES ADMINISTRATIVE ORGANIZATIONS AND
9 WHOLESALE DISTRIBUTION OF PRESCRIPTION DRUGS — REPORT.

10 1. Before January 1, 2026, the commissioner of insurance, or
11 the commissioner of insurance's designee, shall review pharmacy
12 services administrative organizations and the wholesale
13 distribution of prescription drugs, and submit a report to the
14 general assembly containing the commissioner's findings and
15 recommendations. The report shall include, at a minimum, all
16 of the following:

17 a. A description and analysis of the prescription drug
18 wholesale distribution supply chain, including the market
19 concentration for the wholesale distribution of prescription
20 drugs, margins in the wholesale distribution of prescription
21 drugs, and the competition in the wholesale distribution of
22 prescription drugs.

23 b. A description of the role that pharmacy services
24 administrative organizations serve in the prescription drug
25 supply chain.

26 c. A description and analysis of the relationships between
27 pharmacy services administrative organizations, prescription
28 drug wholesalers, and retail pharmacies, including but
29 not limited to standard contracting terms, fees charged to
30 pharmacies, and contractual restrictions and limitations
31 applicable to retail pharmacies.

32 2. a. The commissioner of insurance shall provide the
33 information pursuant to subsection 1 to the general assembly in
34 a format that does not publicly disclose any of the following:

35 (1) The identity of a specific pharmacy services

1 administrative organization or prescription drug wholesaler.

2 (2) The price charged to a specific pharmacy for a specific
3 prescription drug.

4 b. Information provided under this section by the
5 commissioner to the general assembly that may reveal the
6 identity of a specific pharmacy services administrative
7 organization or prescription drug wholesaler, or the price
8 charged to a specific pharmacy for a specific prescription
9 drug, shall be considered a confidential record.>

10 2. Title page, by striking lines 1 and 2 and inserting
11 <An Act relating to pharmacy benefits managers, pharmacies,
12 prescription drugs, and pharmacy services administrative
13 organizations.>>

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